1.3 Economic Systems and Macroeconomics

Video: Economic Systems and Macroeconomics (Crash Course Economics)

Three Questions Every Economy Must Answer

We don't have an infinite amount of resources like raw materials, workers, and time, so we have to make choices.

What to _____
How to produce it

_____

Answer these three questions and you've got an _____.

Factors of Production and Planned Economies

The _____ are the major inputs required to produce things. Karl Marx classified them as land, _____, and capital.

In a _____, the government controls the factors of production.

System	Key idea
Communism	A _____ society where everyone owns the factors of production; in practice, no country has ever been truly communist
Socialism	Both private property and some _____ of industry; aims to provide access to things like education and healthcare
Command economy	The economy is completely controlled by the government

Free Market Economies

In free market or _____ economies, individuals own the factors of production, and the government takes a _____ or hands-off approach.

Businesses make things because they want to make a profit, and consumers choose what to buy.

The _____ is the idea that individuals and businesses meet society's needs when they seek their own self-interest.

What Government Must Do

Maintain the _____: laws, police, contracts, and courts.
Provide _____ and services like roads, bridges, education, and defense.
Step in when markets get things wrong: government steps in to regulate production, such as emissions, safety, and how workers are treated.

Mixed Economies and the Circular Flow

Most modern economies are _____, with both free markets and government intervention. North Korea is at the command end; New Zealand is near the free market end.

Market	What happens there
Product market	Businesses sell goods and services to households
	Households sell resources, like labor, to businesses

Government buys products and resources, provides transfer payments and subsidies, and gets money from taxes and borrowing.

Which System Is Best?

Economies can change over time. China has added more free market elements and now has a socialist market economy.

Supporters of socialism point to Denmark's high standards of living; free market supporters point to China's growth after backing away from central planning. The best amount of government involvement depends on your personal _____.

Economist Thomas Sowell: "There are no solutions, only _____."

Think About It

Name one thing you think the government should provide and one thing you think the free market should handle. Explain your choices. _____